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HOW TO CREATE A MACROFINANCIAL CRISIS

Professor Shekhar Tomar and Sushreeta Mohapatra prepared this case solely as a basis for class discussion. This case is not intended to serve as an endorsement, a source of primary data, or an illustration of effective or ineffective management. This case was developed under the aegis of the Centre for Case Development, Indian School of Business (ISB). The publication may not be digitized, photocopied, or otherwise reproduced, posted, or transmitted, in any manner, including for the purpose of training artificial intelligence technologies or systems, without the permission of ISB.

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INTRODUCTION

In early May 2022, Jon Satchi, Chief Executive Officer of Marion Hotels International, an international luxury hospitality brand, stood in a pensive mood in his hotel room in Colombo, Sri Lanka. The view overlooking his penthouse suite did nothing to alleviate his worry: the streets were packed with protestors, and he could make out military personnel attempting to push back some of the people who were waving banners.

The protests were due to discontent among the citizens over what was being called the worst economic crisis the country had faced since it gained independence in 1948. Satchi's worries too were related to the crisis. The services sector, in which his company operated, and which was one of the major contributors to the Sri Lankan economy, had taken a big hit in the aftermath of the COVID-19 pandemic and the ensuing economic crisis. Just the previous month, Sri Lanka had failed to make an interest payment on its foreign debt for the first time in its history, leading to questions about the health of its economy.¹

The Sri Lankan crisis came close on the heels of similar economic crises in other regions, particularly East Asia,² brought on by the disruptive effects of the COVID-19 pandemic. Tourism revenues, which had contributed more than a tenth of the country's gross domestic product (GDP) in the past,³ had experienced a sharp downturn, and economies heavily dependent on the sector had fared worse than their global counterparts.⁴

Concerned by the developments, Marion's leadership had tasked Satchi with the responsibility of taking a call on the future of the group's business in the region. The group had planned an expansion in the region with fresh investments, but with the dire straits the Sri Lankan economy appeared to be in, the leadership was having second thoughts. There appeared to be some concern as the group evaluated its exposure in countries where similar crises could be triggered due to weak macroeconomic fundamentals. Satchi, who had led the international expansion of the brand in the past, had been asked to share a plan for the future prospects of Marion in the region. As he shut the blinds and returned to the reports on his desk to prepare his presentation, he wondered what lessons he could draw from the Sri Lankan crisis. Did economies with high levels of debt and slow post-pandemic recovery present an opportunity or risk for Marion?

HISTORY OF SRI LANKA'S ECONOMIC CRISES

Sri Lanka's economic landscape was, to a large extent, colored by the colonial rule over the country, which lasted for over four centuries until its Independence in 1948.⁵ An island nation located in the Indian Ocean, agriculture had been the mainstay of Sri Lanka's economy under its colonial rulers.⁶ After Independence, it was touted to be "one of the most promising new nations"⁷ in the Indian subcontinent because it had inherited from its British rulers a stable macroeconomy, alongside high social indicators such as literacy. The plantation agriculture segment (largely tea, coffee, and coconut), introduced and nurtured by the British, flourished into a rich export sector, contributing nearly 90% of the country's foreign exchange.⁸ The welfare measures implemented by the country, which was ranked as a developing economy, were cited as a success story in the South Asian region.⁹

However, in the decades that followed, the country failed to live up to the projections. The foreign exchange crisis of 1961–64^a was followed by low growth in the 1970–77 period.¹⁰ All this while, the state maintained rigid control over the economy, with brief periods of partial liberalization (1965–70), followed by a tightening of government control over trade and related areas.¹¹

Despite favorable long-term per capita growth, Sri Lanka remained a low-income country until the early 1990s.¹² This was attributed to the government's protectionist measures, overdependence on plantation exports and the associated international revenue, the civil war (which began in the 1980s),^b and external shocks.^{c,13}

The economic crisis in Sri Lanka only appeared to deepen in the new millennium. In 2001, the country reported the first contraction of its GDP after Independence (–1.4%), due to a combination of internal and external circumstances.¹⁴ Over the next decade, however, despite the social and political upheaval brought on by the three-decade-long civil war, the economy appeared to show signs of stability. After the end of the civil war in 2009, Sri Lanka's economy was projected to grow rapidly. Indeed, between 2010 and 2016, it averaged a growth rate of 6.2%.¹⁵ It was also in this period that the then Sri Lankan government introduced welfare programs for rehabilitating strife-affected people.¹⁶ It also embarked on a slew of ambitious infrastructure development projects, most notably the Hambantota port project and the Mattala airport, which were supported through debt financing. However, the economic rationale for these projects remained unclear, with many questioning their long-term value and sustainability.¹⁷

Although on the surface the situation appeared stable, the signs of an economic downturn had started to become visible since 2012: a ballooning trade deficit, the falling Sri Lankan rupee, rising inflation, and declining foreign reserves.¹⁸

In March 2012, the media quoted the then Economic Development Minister, Basil Rajapakse: "Right now our problem is the trade deficit^d ... In fact, I would say it is our only problem."¹⁹

^a Between 1961 and 1964, Sri Lanka faced a foreign exchange crisis brought about by a decline in exports and export revenues, rising dependence on imports to support welfare programs for the population, and weakening trade.

^b The civil war in Sri Lanka, which began in 1983, was a conflict between the Liberation Tigers of Tamil Eelam (LTTE) and the Sri Lankan government. With a massive offensive by the Sri Lankan army in 2009 and the death of the LTTE commander V. Prabhakaran in the same year, the government claimed victory and put an end to the civil war.

^c These external shocks included fluctuations in the prices of commodities such as rubber (between 1950 and 1980), tea (in the 1960s), and oil (in the early 1970s).

^d At nearly USD 10 billion, the trade deficit stood at nearly a fifth of Sri Lanka's GDP.

However, the trade deficit was not the only problem the Sri Lankan economy was facing—a twin deficit problem had begun to take shape in Sri Lanka. This was brought about by fiscal profligacy on the government's part, led in part by an aggressive push for infrastructure development through excessive foreign borrowing and investments in social welfare programs in the aftermath of the civil war.²⁰ Additionally, overspending on the non-tradable sector, financed through borrowings from the domestic and international markets,²¹ created a balance of payments (BoP) problem that continued to aggravate the weakened state of the economy. The Hambantota port project and the Mattala airport failed to generate the expected revenues; in fact, these projects recorded losses even as repayment worries loomed large.²² As expenses began to outpace revenues, the economy began to slow down.

HANGING BY A THREAD

As growth slowed and a BoP crisis loomed large,²³ in 2016, the Sri Lankan government approached the International Monetary Fund (IMF) for a bailout. This was the 16th time that Sri Lanka had taken a loan from the IMF since 1965.²⁴ Under the arrangement, the IMF disbursed USD 1.5 billion through its Extended Fund Facility. Min Zhu, Deputy Managing Director and Acting Chair, IMF, said:

Despite positive growth momentum, Sri Lanka's economy is beginning to show signs of strain from an increasingly difficult external environment and challenging policy adjustments. The new government's economic agenda, supported by the Extended Fund Facility, provides an important opportunity to reset macroeconomic policies, address key vulnerabilities, boost reserves, and support stability and resilience.²⁵

The bailout package became the basis for the government to undertake policy reforms. Consequently, over the next 3 years, new initiatives were introduced to resolve the vulnerabilities of the economy. Although this contributed to some fiscal consolidation and largely stable inflation rates, unforeseen shocks in the form of a drought in 2017,^e a constitutional/political crisis in 2018,^f and the Easter Sunday terror attacks in 2019^g severely challenged the economy.²⁶ A domino effect was set in motion: exchange rate pressure and capital outflows increased, negatively impacting Sri Lanka's attempts at reserve accumulation. Revenue from tourism and remittances too declined between 2017 and 2019.²⁷ This was accompanied by a large depreciation of the Sri Lankan rupee (SLR) in 2018, reversal of fiscal consolidation in 2019, and a slowdown in growth. As a consequence, public debt went up, from 84% of the GDP in 2016 to 94% by 2019, an alarming situation for the emerging economy.²⁸

The election of a new government in 2019–20 also led to a change in the country's economic policy. The new government announced a tax cut (lowering income tax and value-added tax) in late 2019, while also discontinuing the automatic fuel pricing mechanism.^{h,29} Although these

^e The 2017 droughts in Sri Lanka impacted 23 of Sri Lanka's 25 districts, leading to severe water scarcity, damage to agricultural crops, and income loss and food security concerns for the affected population.

^f In October 2018, the then Sri Lankan president dismissed the sitting prime minister, Ranil Wickremesinghe, and appointed Mahinda Rajapaksa in his place. The president also suspended Parliament, an act that was later deemed unconstitutional by the Supreme Court of Sri Lanka. For the 2 months that this political crisis played out, Sri Lanka was in a state of political uncertainty, which also impacted the country's economy, currency, and tourism.

^g On April 21, 2019, Easter Sunday, Sri Lanka was targeted by terror attacks in which suicide bombers struck three churches and three luxury hotels, killing 270 people, including 45 foreigners.

^h The automatic fuel price mechanism is a measure used by governments around the world to adjust domestic fuel prices in line with fluctuations in international prices instead of manually determining them.

measures were aimed at reducing the cost of living and promoting consumption, and in turn stimulating production and employment, they ended up creating significant revenue losses, further worsening the financial constraints for the government.

TRIGGER FOR THE MACROECONOMIC DOWNTURN

The changes in economic policy, which aimed to boost growth, instead exposed the economy to external shocks. In 2020, the world economy suffered perhaps its worst crisis of the new millennium due to the COVID-19 pandemic. Sri Lanka was not immune to this shock, and the government swung into action with containment measures such as nationwide lockdowns and border controls. This led to a drop in tourist arrivals (**Exhibit 1**), and a temporary restriction on imports by the government also triggered a sharp decline in the agriculture, manufacturing, and services sectors.³⁰

This also coincided with the expiry of the IMF bailout. The tax cuts of 2019, introduced mere months before the pandemic struck, led to a significant decline in the government's total revenues (tax and non-tax), from USD 10.4 billion in 2019 to USD 7.4 billion in 2020 (see **Exhibit 2**).³¹ Alarmed by the worsening fiscal situation, global credit ratings agencies such as Moody's, Fitch, and S&P, downgraded Sri Lanka to near default levels, cutting off nearly all access to international markets.³²

The sovereign ratings downgrade was perhaps the first indication of the crisis to come. The combined effects of the pre-pandemic macroeconomic mismanagement and the COVID-19 shocks manifested in Sri Lanka's GDP, which contracted by 3.6% in 2020 (see **Exhibit 3**).³³ During this period, the external sector remained stable because the initial decline in tourism receipts was offset by low imports, weak demand, and increase in remittances. This narrowed the current account deficit from 2.2% in 2019 to 1.3% in 2020.

To counter the pandemic's impact, the Sri Lankan government swung into action, introducing a slew of relief measures in 2020. The economy was given a monetary policy stimulus through interest rate cuts. In addition, to ease the impact on the population, the government doled out cash transfers to economically vulnerable families and announced a loan repayment moratorium for businesses. The Central Bank of Sri Lanka (CBSL) provisioned for working-capital loans for SMEs.³⁴

However, the increased fiscal support necessitated by COVID-19 meant that the government's net domestic financing needs also jumped to 13.3% of the GDP, reflecting a fourfold increase against the 2010–19 average of 3.4%. The government also sought to keep borrowing costs low by capping interest rates on government-issued bonds (treasury securities) in mid-2020 (see **Exhibit 4**). The shortfall in funding was met by the CBSL. Further, the CBSL cut interest rates, allowing banks to lower lending rates, easing financial conditions and facilitating credit growth recovery.³⁵

These measures, however, were insufficient to stem the downturn of the economy. Weighed down by a legacy of tax cuts before 2019, weak revenue performance, and increased expenditures to mitigate the economic and social impact of the pandemic, the annual fiscal deficits continued to exceed 10% of the GDP in 2020 and 2021.³⁶ The country's public and publicly guaranteed debt as a share of GDP rose from 94% in 2019 to 109.7% in 2021.³⁷ The CBSL's interventionist policy, which pegged the official exchange rate to the US dollar since April 2021 and regulated the prices of basic commodities in mid-2021, created shortages in the economy.

Inflation began to rise steadily due to rising demands, supply shortages, and increases in administered fuel and food prices.³⁸ This had the adverse effects of foreign exchange hoarding

and the creation of a parallel foreign exchange market, leading to further dollar shortages and a rise in the cost of imported items, further fueling inflation.

THE DOWNWARD SPIRAL

The intervention-led partial stability in the external market, however, did not last long. The rising oil prices due to a mismatch in supply and demand and the recovery of import demand widened the current account deficit to 3.8%, further worsening the shortage of foreign exchange.³⁹

A sharp decline in worker remittances from May 2021 onward exacerbated the crisis (**Exhibit 5**).⁴⁰ This decline was caused largely by the shrinking international migrant worker baseⁱ and the unfavorable fixed exchange rate, pegged at SLR 200 per USD, which was lower than the SLR 235 per USD being offered in the informal gray markets.

In addition, the government's move to completely ban the import of chemical fertilizers in April 2021 aggravated the forex crisis. As of 2020, fertilizer imports accounted for 1.6% of Sri Lanka's total imports.⁴¹ The policy was presented as a shift toward sustainable organic farming; however, driven by shrinking foreign exchange reserves, it backfired: yields and quality fell, crop production dropped, and prices rose.⁴² Although the move initially stemmed the outflow of meager forex reserves, the policy came to negatively impact exports after the harvest season. The plantation industry, which depended on imported fertilizers for cultivation and contributed significantly to exports and forex revenues, suffered huge losses due to crop failures. Instead, Sri Lanka had to resort to importing several basic commodities such as rice and sugar, further depleting the forex reserves and depreciating the exchange rate.⁴³

The subsequent depreciation of the exchange rate led to an increase in sovereign debt burden as the country struggled to balance the high costs of importing basic commodities with falling export earnings.⁴⁴ Sri Lanka began to experience a combined BoP and sovereign debt crisis, exacerbated by the downgrading of the Sri Lankan economy by ratings agencies. As investors lost confidence in Sri Lanka's ability to repay its debts, the country lost access to capital from international markets.

Relief came in the form of financial support from its neighbors (China, India, and Bangladesh lent a combined USD 4.4 billion) and new Special Drawing Rights allocations from the IMF (USD 780 million). As much as 85% of the latter was used for debt repayment and foreign exchange intervention, so it only provided temporary respite. Massive debt repayments, including the maturities of international sovereign bonds, the exit of foreign investors from Sri Lankan bonds, and the widening current account deficit led to a further decline of gross international reserves by December 2021.⁴⁵

The large fiscal deficits also led to the government relying on greater financing from CBSL, with the latter extending credit that amounted to 9% of the GDP between March 2020 and November 2021.⁴⁶ This in turn led to 40% of bank assets being tied up in government and state-owned enterprises' (SOE) debt.⁴⁷

As BoP pressures increased, the government extended the import ban to include intermediate and investment goods alongside consumer goods. However, unlike in the previous year, when such a move had eased BoP pressures by allowing for nearly USD 840 million in import savings⁴⁸ without impacting domestic production drastically, in 2021, this ended up impeding

ⁱ This shrinkage was caused in large part by the global impact of COVID-19, leading to the return of migrant workers from abroad, a decline in the numbers of Sri Lankans traveling abroad for work, as well as job losses faced by migrants in other countries.

growth. Specifically, restrictions on agriculture and transport, which contributed 8% and 11% to the GDP, respectively, hurt production outputs and increased prices, squeezing the markets and consumers alike.

MANIFESTATION OF THE CRISIS

By 2022, the crisis had only deepened. Inflationary pressures were on the rise, driven by transitory supply-side factors, such as high global commodity prices and the upward price adjustments of government-regulated commodities. Central bank financing of the budget deficit added to these inflationary pressures. As a result, headline and non-food inflation^j rose to 14.2% and 9.9%, respectively, in January 2022 (see **Exhibit 6**).⁴⁹

The foreign exchange shortage and the policy measures implemented by the government to conserve foreign currency created a currency market freeze, impacting businesses further and eroding the confidence of the international market in the Sri Lankan economy. Amid rising foreign debt payments, foreign exchange reserves shrank from USD 6.9 billion in 2018 to USD 2.2 billion in 2022 (see **Exhibit 7**).⁵⁰ Although Sri Lanka had enough reserves to cover about 6 months of imports in 2020, this fell to less than 30 days' worth of imports as the crisis deepened in 2022.⁵¹ At its worst, the country barely had enough reserves to meet 15 days' worth of imports.

In February 2022, the IMF declared that with low international reserves and large financing needs, Sri Lanka's public debt was unsustainable. Markets echoed these concerns, pushing yields on Sri Lankan government bonds to over 30% in early 2022 (see **Exhibit 8**).⁵² They urged the government to take initiatives that would "restore macroeconomic stability and debt sustainability."

Amid all this, to the surprise of everyone, in March 2022, the CBSL floated the currency, which had been regulated since 2021. This was done to stabilize the currency, and the devaluation aimed to encourage remittances. However, the opposite occurred—the currency rapidly depreciated by 80%,⁵³ causing inflation to skyrocket.⁵⁴ Adding to the country's financial woes was the Russia–Ukraine war.^k Oil and petroleum products were among Sri Lanka's largest imports, and the war, which led to sharp increases in global oil prices, intensified the country's BoP crisis, pushing it to the brink of a potential default.⁵⁵

Given the precarious financial position, in April 2022, the Government of Sri Lanka temporarily suspended repayment of all external debt, indicating bankruptcy.⁵⁶ At the media briefing, the Central Bank Governor, P. Nandalal Weerasinghe, declared, "We have lost the ability to repay foreign debt. It has come to a point that making debt payments are challenging and impossible."⁵⁷

CONCLUSION

Satchi took another close look at the reports on his desk. The economic challenges before Sri Lanka did not show signs of being resolved any time soon. The public debt was mounting, international reserves were still low, and the country needed significant financing in the years to come. As the effects of the pandemic started to fade, the tourism sector had begun to pick

^j Headline inflation refers to the total inflation rate in an economy, covering the changes in prices of all goods and services. Non-food inflation is a type of inflation measure that focuses on the price movements of predictable commodities such as fuel, health care, and housing, excluding food.

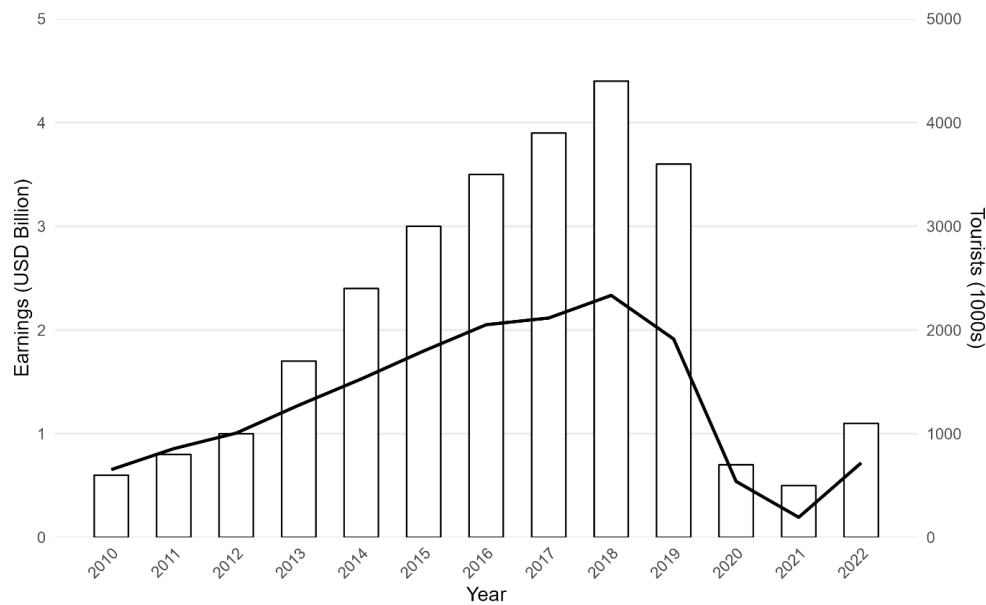
^k The Russia–Ukraine war began on February 24, 2022, with the Russian invasion of Ukraine. This war marked an escalation in hostilities between the two countries, which had been in conflict since 2014, following the Russian annexation of the Ukrainian territory of Crimea.

up again; however, Sri Lanka was still mired deep in crisis. The situation in some other economies in the region, although not as dire, too did not look very encouraging as he analyzed their macroeconomic indicators.

Additionally, the liquidity freeze in Sri Lanka served as a cautionary tale: when sovereign distress hits, capital mobility effectively dries up, and investments remain stuck. Although Sri Lanka did not formally ban capital repatriation by foreigners, severe scarcity of dollars meant that most firms found it extremely difficult to repatriate capital.⁵⁸ If other distressed markets faced a similar liquidity crisis, precious capital could be trapped across the region, making it inaccessible when needed by the group's headquarters.

In light of this, Satchi was unsure what to recommend to the leadership of Marion. He would need to dig deeper and identify the causes of the crisis to evaluate whether Marion's prospects of expanding in Asia held any promise.

Exhibit 1
Tourism: Arrivals and Earnings Over Time



Note: This exhibit tracks the earnings from tourism (bar; left-hand side) and tourist arrivals (line; right-hand side) in Sri Lanka from 2010 to 2022.

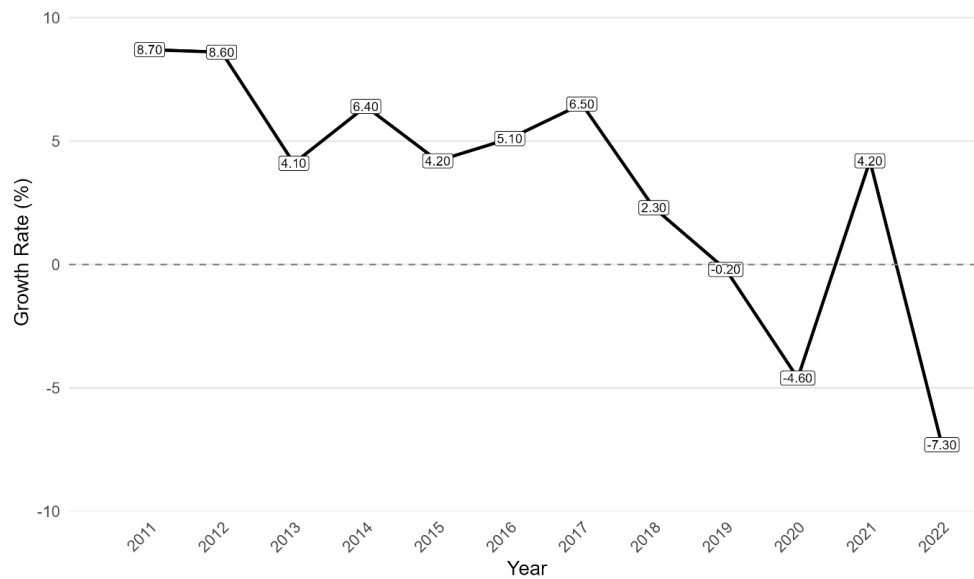
Source: Authors' calculations based on data from the Sri Lanka Tourism Development Authority.

Exhibit 2
Sri Lanka: Summary of Government Revenue (2019–2022; Sri Lankan Rupee)

Item	2019	2020	2021	2022
Total Revenue and Grants	1,898,808	1,373,308	1,463,810	2,012,589
Total Revenue	1,890,899	1,367,960	1,457,071	1,979,184
Tax revenue	1,734,925	1,216,542	1,457,071	1,979,184
Income Tax	427,700	268,249	302,115	534,021
Taxes on Goods and Services	975,557	586,650	646,068	875,995
Taxes on External Trade	331,668	361,643	349,836	341,116
Non-Tax Revenue	155,974	151,417	159,052	228,052
Grants	7,909	5,348	6,740	33,405
As a % of GDP				
Revenue and Grants	11.9	8.8	8.3	8.3
Total Revenue	11.9	8.7	8.3	8.2
Tax Revenue	10.9	7.8	7.4	7.3
Non-Tax Revenue	1.0	1.0	0.9	0.9
Grants	0	0	0	0.1

Source: Ministry of Finance, Sri Lanka. Annual Report 2020.

Exhibit 3
GDP Growth Rate (2017–2022)



Note: GDP = gross domestic product.

This exhibit plots the trajectory of Sri Lanka's real GDP growth rate from 2011 to 2022.

Source: Authors' calculations based on data from the World Bank.

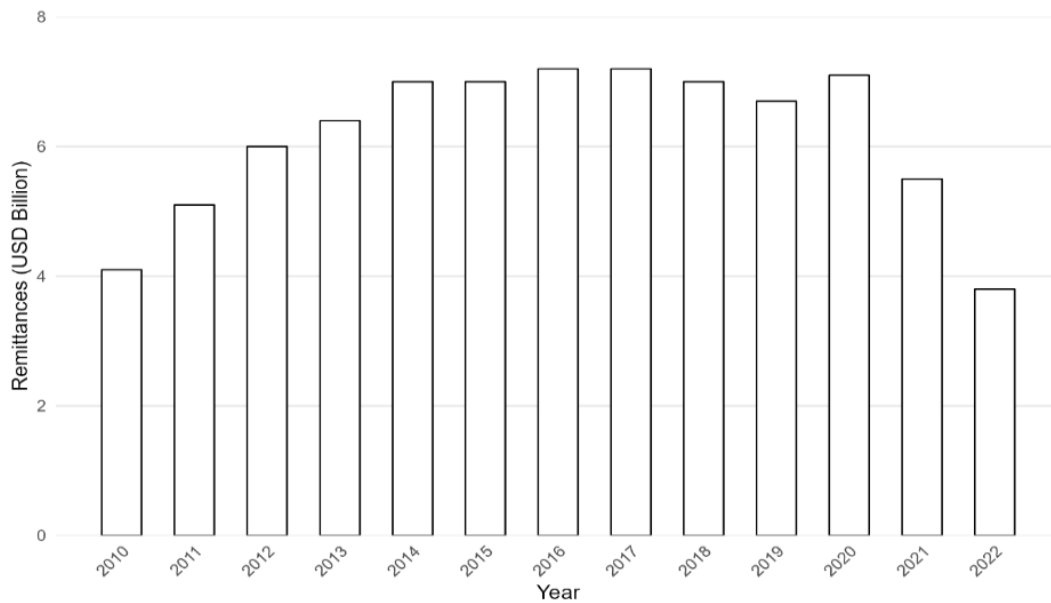
Exhibit 4
Dynamics of 90-day Treasury Bond Yield



Note: This exhibit captures the trajectory of Sri Lanka's 90-day treasury bond yield from 2018 to 2022, reflecting the short-term interest rate policy of the Central Bank of Sri Lanka.

Source: Authors' calculations based on data from the International Monetary Fund (IMF).

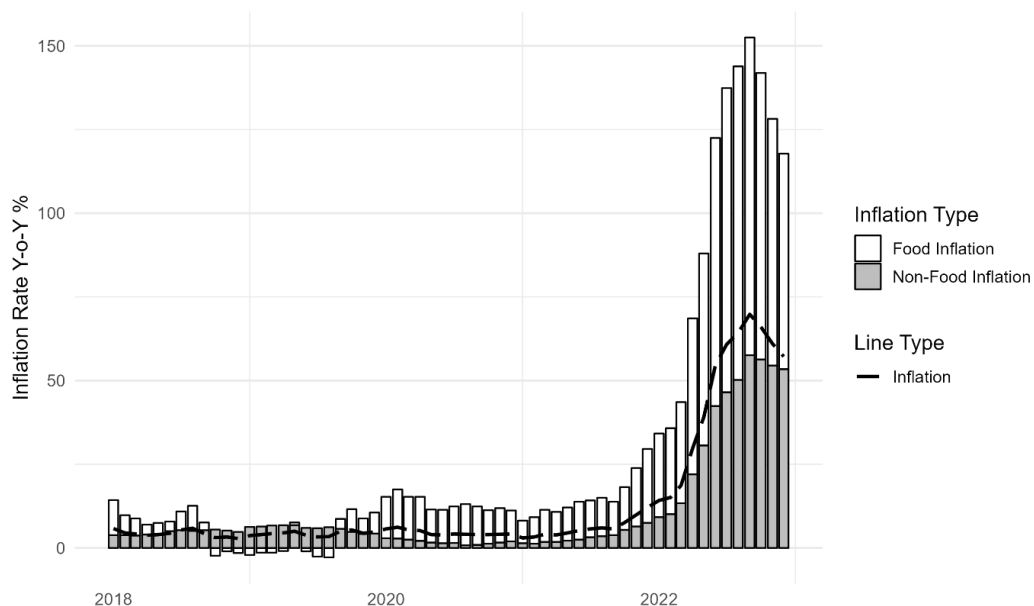
Exhibit 5
Worker Remittances Over Time



Note: This exhibit represents the annual inflow of worker remittances in Sri Lanka from 2010 to 2022.

Source: Authors' calculations based on data from the Central Bank of Sri Lanka.

Exhibit 6
Evolution of Inflation in Sri Lanka

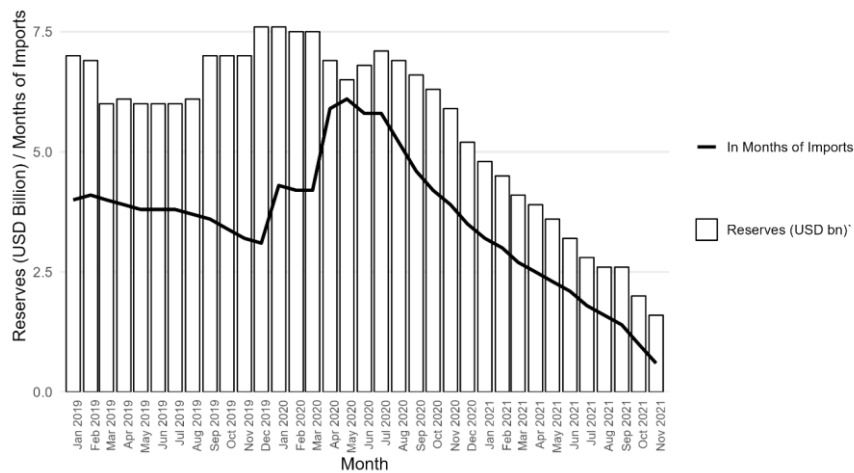


Note: This exhibit traces the year-on-year percentage change in the Colombo Consumer Price Index (CCPI), covering food, non-food and overall inflation.

Source: Authors' calculations based on data from the Central Bank of Sri Lanka.

Exhibit 7

Foreign Exchange Reserves Over Time

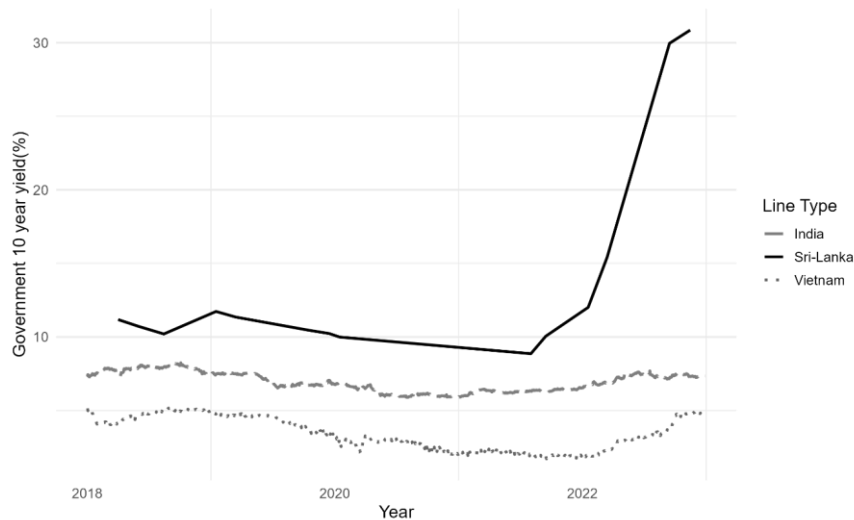


Note: This graph captures Sri Lanka's foreign exchange reserves measured as months of import and billions of USD.

Source: Authors' calculations based on data from the Central Bank of Sri Lanka.

Exhibit 8

Emerging Markets Bond Yields: A Comparison



Note: This exhibit illustrates the trends in the Emerging Market Bond Yields for Sri Lanka, and other emerging market economies (India and Vietnam), reflecting the risk premium charged by investors for holding sovereign debt.

Source: Authors' calculations based on data from the Central Bank of Sri Lanka.

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